



MEMORANDUM

TO: Honorable Mayor Patrick Collins, City of Cheyenne
City Council Members

FROM: Renee Smith, Grants Manager

DATE: August 22, 2023

SUBJECT: MEMORANDUM OF UNDERSTANDING BETWEEN THE CITY OF
CHEYENNE AND WYOMING HOUSING NETWORK, INC.

Attached is the Memorandum of Understanding for your approval and execution.

Purpose of the MOU:

The purpose of this Agreement is for the City to provide certain financial assistance to Wyoming Housing Network (WHN) in accordance with guidelines of the Home Investment Partnerships Program (HOME) administered by the U.S. Department of Housing and Urban Development's Office of Community Planning and Development related to the construction of affordable housing for the Robin's Point Apartments housing project to help fill a funding gap caused by rising construction costs.

Please contact me directly at (307) 637-6285 or rsmith@cheyennecity.org if you have any questions or need additional information.

MEMORANDUM OF UNDERSTANDING
Between
CITY OF CHEYENNE AND WYOMING HOUSING NETWORK, INC.

THIS AGREEMENT is made and entered into by and between the City of Cheyenne, Wyoming, a municipal corporation organized under the laws of the State of Wyoming, located at 2101 O'Neil Avenue, Cheyenne, Wyoming 82001 ("CITY"), and Wyoming Housing Network, Inc, located at 2345 East 2nd Street, Cheyenne, Wyoming 82001 ("WHN").

I. PURPOSE

The purpose of this Agreement, including the supporting appendix (Appendix A) consisting of a total of six (6) pages, is for the CITY to provide certain financial assistance to WHN in accordance with guidelines of the Home Investment Partnerships Program (HOME) administered by the U.S. Department of Housing and Urban Development's Office of Community Planning and Development related to the construction of affordable housing for the Robin's Point Apartments housing project.

II. TERM

This Agreement shall commence on the date last executed by the duly authorized representatives of the parties to this Agreement and shall remain in full force and effect until August 1, 2025, or when terminated as provided herein.

III. RESPONSIBILITIES OF THE CITY

The CITY shall pay WHN up to one hundred fifty thousand dollars (\$150,000.00) from the HOME Program income funds account upon presentation of a properly executed invoice and accounting as prescribed by the City Treasurer. The CITY's payment obligation under this Agreement is capped at one hundred fifty thousand dollars (\$150,000.00). Payments shall be made in accordance with Wyo. Stat. § 16-6-602 (as amended).

IV. RESPONSIBILITIES OF WYOMING HOUSING NETWORK

A. WHN agrees that the funds paid by the CITY pursuant to this Agreement shall be used to support the construction of affordable housing and shall not be for the express aid of any private citizen, or in violation of Article 16, Section 6, of the Constitution of the State of Wyoming.

B. Should WHN be unable to utilize these funds for affordable housing within two (2) years of the effective date of this agreement, WHN agrees to return these funds to the CITY.

C. WHN agrees that the affordability period as defined by the U.S. Department of Housing and Urban Development related to the construction of affordable housing relying on these

funds shall be for a period of five (5) years and that neither WHN, nor any of its affiliates or tenants may sell the property, or any subunit therein, within this period of time.

D. WHN agrees to provide an invoice to the CITY consisting of at a minimum a detailed accounting describing the costs and services provided pursuant to this Agreement.

E. WHN agrees, in accordance with generally accepted accounting procedures and practices, to maintain sufficient books, records, documents and other information to sufficiently and accurately reflect all transactions of any nature relating to this Agreement or any funds provided by or through the CITY including, but not limited to, the funds referenced herein. Any books, records, documents and other information shall be made available upon written request by the CITY for the inspection at the offices of WHN in Cheyenne, Wyoming.

F. WHN agrees to retain all required records for three (3) years after the CITY makes final payment and all other matters relating to the Agreement are concluded. WHN further agrees to permit access by the CITY, or any of its duly authorized representatives, to any books, books, records, documents and other information of WHN which are directly pertinent to this Agreement for purposes including, but not limited to any audit, examination, excerpts and transcriptions. WHN further agrees that finished or unfinished documents, data or reports prepared by WHN pursuant to this Agreement shall be considered the property of the CITY and upon completion of the services to be performed, or upon termination of this Agreement for cause, or for the convenience of the CITY, such property will be turned over to the CITY.

G. WHN agrees to adhere to the Federal requirements governing conflicts of interest and agrees its use of the funds provided herein are subject to the Uniform Administrative Requirements under 2 C.F.R. Part 200, *et seq.* WHN further agrees to adhere to any additional requirements specific to the use of Home Investment Partnerships Program (HOME) income funds or otherwise imposed by the federal funding agency, all applicable regulations published in the Code of Federal Regulations and all other program guidance as provided to it by the CITY.

V. GENERAL PROVISIONS

A. Independent Contractor. The services to be performed by WHN are those of an independent contractor and not as an employee of the CITY. WHN is not eligible for City of Cheyenne employee benefits and will be treated as an independent contractor for federal tax filing purposes. WHN assumes responsibility for its personnel who provide services pursuant to this Agreement and will make all deductions required of employers by state, federal and local laws and shall maintain liability insurance for each of them. WHN is free to perform the same or similar services for others.

B. Acceptance Not Waiver. The CITY's approval of the reports and work or materials furnished hereunder shall not in any way relieve WHN of responsibility for the technical accuracy of the work. The CITY's approval or acceptance of, or payment for, any of the services shall not

be construed to operate as a waiver of any rights under this Agreement or of any cause of action arising out of the performance of this Agreement.

C. Termination. This Agreement may be terminated by: (a) either party at any time for failure of the other party to comply with the terms and conditions of this agreement; (b) either party with thirty (30) days' prior written notice to the other party; or (c) upon mutual written agreement by both parties.

D. Entire Agreement. This Agreement consisting of five (5) pages plus the supporting appendix consisting of six (6) pages represents the entire and integrated agreement and understanding between the parties and supersedes all prior negotiations, statements, representations and agreements, whether written or oral.

E. Assignment. Neither this Agreement nor any rights or obligations hereunder shall be assigned or delegated by a party without the prior written consent of the other party.

F. Modification. This Agreement shall be modified only by a written agreement, duly executed by all parties hereto.

G. Invalidity. If any provision of this Agreement is held invalid or unenforceable by any court of competent jurisdiction, or if the CITY is advised of any such actual or potential invalidity or unenforceability, such holding or advice shall not invalidate or render unenforceable any other provision hereof. It is the express intent of the parties that the provisions of this Agreement are fully severable.

H. Applicable Law and Venue. The parties mutually understand and agree this Agreement shall be governed by and interpreted pursuant to the laws of the State of Wyoming, without regard to its conflict of laws principles. If any dispute arises between the parties from or concerning this Agreement or the subject matter hereof, any suit or proceeding at law or in equity shall be brought in the District Court of the State of Wyoming, First Judicial District, sitting at Cheyenne, Wyoming. The foregoing provisions of this paragraph are agreed by the parties to be a material inducement to WHN and to the CITY in executing this Agreement. This provision is not intended nor shall it be construed to waive the CITY's governmental immunity as provided in this Agreement.

I. Contingencies. WHN certifies and warrants no gratuities, kickbacks or contingency fees were paid in connection with this Agreement, nor were any fees, commissions, gifts or other considerations made contingent upon the execution of this Agreement.

J. Discrimination. All parties agree they will not discriminate against any person who performs work under the terms and conditions of this Agreement because of race, color, gender, creed, handicapping condition or national origin.

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K. ADA Compliance. All parties agree they will not discriminate against a qualified individual with disability, pursuant to law as set forth in the Americans with Disabilities Act, P.L. 101-336, 42 U.S.C. § 12101, *et seq.*, and any applicable rules and regulations relating thereto.

L. Governmental Immunity. The CITY does not waive its Governmental Immunity, as provided by any applicable law, including Wyo. Stat. § 1-39-101, *et seq.*, by entering into this Agreement. Further, the CITY fully retains all immunities and defenses provided by law regarding any action, whether in tort, contract or any other theory of law, based on this Agreement.

M. Indemnification. To the fullest extent permitted by law, WHN agrees to indemnify and hold harmless the CITY, its elected and appointed officials, employees and volunteers from any and all liability for injuries, damages, claims, penalties, actions, demands or expenses arising solely from or in connection with the work that is to be performed by or on behalf of WHN for the CITY except to the extent liability is caused by the sole negligence or willful misconduct of the CITY, its elected and appointed officials, employees and volunteers. WHN shall carry liability insurance sufficient to cover its obligations under this provision and provide the CITY with proof of such insurance.

N. Third Parties. The parties do not intend to create in any other individual or entity the status of third-party beneficiary, and this Agreement shall not be construed so as to create such status. The rights, duties and obligations contained in this Agreement shall operate only between the parties to the Agreement and shall inure solely to the benefit of the parties to this Agreement.

O. Conflict of Interest. The CITY and WHN affirm, to their knowledge, that no WHN employee has any personal beneficial interest whatsoever in the Agreement described herein. No member of WHN's staff, compensated either partially or wholly with funds from this Agreement, shall engage in any conduct or activity which would constitute a conflict of interest relative to this Agreement.

P. Force Majeure. The performance of the Agreement by either party shall be subject to force majeure including, but not limited to, acts of God, fire, flood, natural disaster, war or threat of war, acts or threats of terrorism, civil disorder, unauthorized strikes, governmental regulation or advisory, recognized health threats as determined by the World Health Organization, the Centers for Disease Control or local government authority or health agencies (including, but not limited to the health threats of COVID-19, H1N1 or similar infectious diseases), curtailment of transportation facilities, or other similar occurrence beyond the control of the parties, where any of those factors, circumstances, situations, or conditions or similar ones prevent, dissuade, or unreasonably delay the performance required by this Agreement. The Agreement may be cancelled by either party, without liability, damages, fees or penalty, and any unused deposits or amounts paid shall be refunded, for any one or more of the above reasons, by written notice to the other party.

Q. Limitation on Payment. The CITY's payment obligation is conditioned upon the availability of funds which are appropriated, allocated or approved by the Governing Body of the

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City of Cheyenne for the payment of this obligation. If funds are not allocated, appropriated or approved and available, in the fiscal judgment of the CITY, for the continuance of the services and equipment provided by WHN, the Agreement may be terminated by the CITY at the end of the period for which funds are available. No penalty shall accrue to the CITY in the event this provision is exercised and the CITY shall not be obligated or liable for any future payments due or for any damages as a result of termination under this provision.

R. Notices. All notices required and permitted under this Agreement shall be deemed to have been given, if and when deposited in the U.S. Mail, properly stamped and addressed to the party for whom intended at such party's address listed herein, or when personally delivered personally to such party. A party may change its address for notice hereunder by giving written notice to the other party.

S. Compliance with Laws. WHN shall comply with all applicable federal, state, or local laws, regulations, and ordinances.

In witness hereof, the parties to this Agreement, through their duly authorized representatives, have executed this Agreement on the days and dates set out below and certify that they have read, understood, and agreed to the terms and conditions of this Agreement.

This Agreement is effective the date of the last signature affixed to this page.

CITY OF CHEYENNE, WYOMING

By: _____ Date _____
Patrick Collins, Mayor

(SEAL)

Attest:

BY: _____
Kristina F. Jones, City Clerk

WYOMING HOUSING NETWORK

By: _____ Date _____
Melissa Noah, Executive Director

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Development Financing - Current

Construction Loan Amount	\$ 9,000,000
Construction Loan Rate	7.2500%
Project Funded without Permanent Debt	No

Residential Amortizing Loans

Source of Loan	Amount of funds	Interest Rate	Term of Loan	Amortization (Years)	Approval
Perm - Rocky Mtn. CRC	\$ 2,000,000	6.550%	16		40 Committed
Total	\$ 2,000,000				

Residential Grants & Deferred Loans

Source of Grant	Amount of funds
HOME Deferred Loan - WCDA	\$ 2,124,500
HTF Deferred Loan - WCDA	\$ 1,517,000
City of Cheyenne - HOME - WHN	\$ 150,000
Total	\$ 3,791,500

Residential Other

Source	Amount of funds
Deferred Developer Fee	\$ 186,669
Other Owner Equity	\$ 100
Additional Amount to cover GAP	\$ 2,895,960
Total	\$ 3,082,729

Tax Credit Equity

Source	Amount of funds
Tax Credit Equity	\$ 8,274,173
Total	\$ 8,274,173
Residential Grand Total	\$ 17,148,402